



Turning Price Irrationality Into Dollars

The only independent platform that compares and procures real-time network pricing for high-cost healthcare claims with extreme pricing volatility

THE OPPORTUNITY

HealthRate is the **only independent catastrophic-claims pricing engine** built to exploit massive price variance across transplants, oncology, CGT, and other million-dollar cases. We routinely identify **\$50K–\$1M+ per case** in savings across payers — while protecting employers and TPAs from post-Cornell ERISA fiduciary exposure.

THE THREE-ACT THESIS

Act 1 — We Executed: Raised \$1M from First Trust Capital Partners(pre-seed), built production product, won HIMSS Best in Show, signed first customer, built \$9M+ pipeline with major payers.

Act 2 — Strong Business: 87% gross margins, structural moat (networks can't compete due to conflict of interest), clear path to profitability, \$500M–\$1.8B TAM.

Act 3 — Cornell = Mandatory = Unicorn: In April 2025, the Cornell / SCOTUS ruling clarified that employers + TPAs are fiduciaries for plan pricing. This creates a new compliance obligation: they must demonstrate a *prudent, documented process* for selecting networks and managing catastrophic claims. When the first \$100M ERISA settlement hits (soon), every plan needs a system like HealthRate. Pricing expands from \$0.15 PMPM to \$1–3 PMPM as this becomes mandatory infrastructure.

TRACTION

- Product in **production** with customers
- Expert witness signed engagement with major law firm recruiting plaintiffs
- Annual burn: \$800K | Pipeline ARR: \$9M+ across major blue plans, regional payers, and TPAs
- Multiple deals are in late-stage contracting with 30–90 day close timelines

THE STRUCTURAL MOAT

Optum, Cigna, and other large players CANNOT build this — have conflicts of interest — they profit from the same opaque contracts employers must now justify. HealthRate has zero carrier alignment, giving us a **permanent defensibility advantage**.

Competitors: none within 18–24 months.



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THE TEAM

Tim Michaels, CEO - 30-year insider in healthcare with deep expertise in specialty care pricing, network contracting, actuarial modeling, and fiduciary analytics at Optum / Ingenix / PwC.

Key Advisory Board Members:

Paul Stordahl - Chief Actuary Emeritus, UnitedHealthcare

Geoff Bartsh - SVP, Oscar

Robert Van Why - SVP, HealthPartners

Mark Nathan – CEO and Founder, Burrow Software

Expertise + asymmetric knowledge = decisive execution advantage.

THREE PATHS TO UNICORN

1. **B2B SaaS infrastructure** - enterprise platform adopted by payers, TPAs, stop-loss (\$500M-1B exit)
2. **Post-Cornell compliance mandate** - required fiduciary tooling for all self-funded plans (\$1-3B exit)
3. **Consumer platform** - 'Kayak for Healthcare' (\$3-10B exit)

Three independent billion-dollar outcomes. We don't need all three. Any one path returns the fund.

USE OF PROCEEDS

- Close current pipeline & expand sales (40%)
- Scale platform, compliance features, and integrations (30%)
- Data ingestion & actuarial modeling expansion (15%)
- Operations & customer success (15%)

Extends our lead in an uncontested market and positions HealthRate to scale rapidly as imminent payer and TPA deals close

CONTACT

Tim Michaels, Founder & CEO

(612) 747-5927

tim@healthrate.io

www.healthrate.io